

Step 1: Determine how much you'd need on a monthly basis to live comfortably in retirement. This monthly amount should include things like your living expenses, travel, fun, and so on. Basically, add up the cost of all the things—your essentials plus fun—that you'd like to be able to afford for a full life when you are retired. Take the monthly amount you've decided on and multiply it by 12 so you know how much you need each year.

For example, let's say you decide you'll need \$4,000 a month. \$4,000 multiplied by 12 months comes out to \$48,000 a year that you'll need to live comfortably, assuming this number is after taxes. Multiplied again by 20 years ($\$48,000 \times 20$), again assuming the average length of retirement (starting at 65), you'll need to save \$960,000 for your retirement. In order to make sure you are factoring in taxes; you'll want to add on a tax rate of at least ~25% to this so you can cover your annual tax obligations when you start to make withdrawals. This would bring the amount you'd need to save to \$1.2 million before taxes. Keep in mind that your annual tax rate will depend on how much you withdraw as income from your retirement account on an annual basis.

Step 2: Project what you are currently saving for retirement now into the future to determine how much you'll have. How much are you able to save now? Do you anticipate that increasing in the future? You'll also want to figure out how much you *should* be saving on an annual basis to ensure you meet your long-term retirement goal. Your calculations will need to factor in inflation, and you can play around with seeing how potential investment returns could speed up your journey. A good online retirement calculator can help with both of those things. Keep in mind that you may decide not to retire 100% and instead have a part-time job or business. So, in addition to investments, consider that you may have additional income coming in from a job or business.

Looking at things this way can help you understand how much you need to save to live the life you desire. The good news is that you don't have to save every single spare dollar you have for retirement and sacrifice living a good life right now. You just need to contribute consistently to your retirement